Building Supply Chain & Climate Resilience

> **Global turbulence has exposed the fragility of traditional supply chains, reinforcing the need to build agile, diversified and localised manufacturing and supply networks, whilst systematically addressing climate challenges.**

ITC has over time invested in creating and nurturing several integrated supply chains in India that are today pillars of resilience and competitiveness, supporting large-scale livelihoods. These value chains from farm to fork, plantations to paper & packaging, together with their distributed manufacturing footprint, promote local entrepreneurship, MSMEs and domestic sourcing with multiple alternatives to provide resilience in an era of intense uncertainty.

> **The largest challenge of the century is the devastating global impact of climate change. While the world has rightly focused on long-term decarbonisation initiatives, the increased severity of extreme weather events makes it imperative that urgent focus is accorded to adaptation.**

Therefore, sharper emphasis is today being accorded to the super critical area of adaptation, that focuses on climate-proofing physical infrastructure, building resilience of agri value-chains and promoting nature-based solutions. Accordingly, a **comprehensive climate-risk modelling exercise** across 140 sites and agri value-chains using AI-enabled tools and site-specific plans have been devised to address the identified decadal risks.

In line with this approach, your Company has spearheaded a large-scale **Climate Smart Agriculture** (CSA) programme to de-risk farming systems from both biotic and abiotic stress. The programme promotes high-yielding, climate-resistant seed varieties, developed by LSTC, along with best-in-class agro-chemical management and micro zone-specific agricultural practices. These practices have led to greater resilience, higher productivity and enhanced farmer incomes. The CSA programme today spans over **31 lakh acres**, **covers 100 districts** and benefits more than **12 lakh farmers**. Your Company is committed to expanding CSA coverage to over **40 lakh acres by 2030**.

ITC recognises the crucial need to enhance water security in its operations and catchments. Your Company has received the globally acknowledged **AWS Platinum certification** for all its prioritised vulnerable water-stress sites. Going beyond the fence, ITC is actively engaged in the restoration of river basins in our factory catchments to strengthen water security and has already achieved **water positive status in 4 such basins**. ITC is also implementing measures in urban catchments, including Bengaluru and Tiruvottiyur. Recognising the critical role of water in agriculture, your Company has implemented **integrated watershed development** programmes to enhance supply as well as **demand-side interventions** to achieve more crop per drop.

> **Today, the rainwater harvesting initiative has cumulatively covered 18 lakh acres, while the demand-side efforts have enabled an estimated annual savings of 1,400 million KL across 15 crops covering 18 lakh acres in 12 States. These efforts have enabled your Company to create freshwater potential that is today 5 times more than its consumption in operations.**

ITC is deeply committed to **building the long-term resilience of rural communities** through livelihood creation and future-ready capabilities. Towards this, ITC's CSR programmes cover 300 districts and follow a two-horizon approach. **Horizon I** focuses on strengthening current livelihoods and food security through natural resources management and income diversification, while **Horizon II** builds future capabilities through education, skilling, healthcare and women empowerment. These multi-dimensional programmes have reached out to **60 lakh women**, supported the education of nearly **28 lakh children**, trained over **1.2 lakh youth** and facilitated over **7 lakh healthcare engagements**. Over **95 Public-Private-People partnerships** have led to purposeful outcomes.

As I have often expressed, enterprises exist to serve both an economic and social purpose. These meaningful interventions at scale give me the confidence that enterprises can indeed shape a tomorrow which will be much more secure for future generations.

> **I must reiterate my unwavering belief that a company's most enduring asset lies in its inspired talent and powerhouse of diverse people that fuels innovation, drives transformation and anchors resilience in times of change.**

Your Company is indeed privileged to earn the enduring trust and support of its stakeholders including shareholders, consumers, customers, farmers, local communities, partners and many others. On behalf of the Board and myself, I express our deepest gratitude to each one of you for your invaluable partnership in contributing to this exemplary institution of national pride.